UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF IOWA

In re: LINDSAY STURM and SEAN STURM Debtor. SOUTH STORY BANK & TRUST Plaintiff, v. LINDSAY STURM and SEAN STURM Defendants.	Case No. 25-01022-lmj7 Chapter 7 Adv. Proc. No. _____

COMPLAINT OBJECTING TO DISCHARGEABILITY OF DEBT

COMES NOW South Story Bank & Trust ("Plaintiff"), by and through its counsel, and in support of this Complaint respectfully states:

1. This adversary proceeding arises in and relates to the Chapter 7 case of LINDSAY STURM and SEAN STURM, Case No. 25-01022-lmj7, pending in the United States Bankruptcy Court for the Southern District of Iowa, Central Division.

2. Plaintiff does consent to the entry of final orders or judgment by the bankruptcy court in this adversary proceeding.

I. JURISDICTION, PARTIES, AND VENUE

3. On June 16, 2025, Lindsay Sturm and Sean Sturm ("Debtors") filed a voluntary Chapter 7 Petition in this Court.

4. Charles Smith is the duly appointed Trustee of Debtors' bankruptcy estate.

5. The Plaintiff is a creditor of the Debtors.

6. This Court has subject matter jurisdiction in this Complaint pursuant to 28 U.S.C. § 1334. This Court's subject matter jurisdiction is further augmented by a General Reference Order issued by the United States District Court.

7. Venue of this Complaint is proper in this Court by operation of 28 U.S.C. § 1409(a).

8. This is a core proceeding by operation of 28 U.S.C. § 157(b)(2)(I).

II. FACTS

9. On September 2, 2021, for consideration received, Sturm Cosmetic Surgery, P.C., a professional corporation ("SCS") owned 100% by Lindsay Sturm, executed a Promissory Note in favor of Plaintiff in the principal amount of $1,150,000.00 ("Note"), a copy of which is attached hereto as Exhibit A. The Note superseded and replaced a prior Promissory Note executed by SCS in favor of Plaintiff on February 5, 2019 in the principal amount of $400,000.00 ("Prior Note"), a copy of which is attached hereto as Exhibit B.

10. On February 5, 2019, SCS executed a Commercial Security Agreement in favor of Plaintiff ("Security Agreement"), a copy of which is attached hereto as Exhibit C, wherein, among other things, SCS granted Plaintiff a security interest in all of SCS' inventory, equipment, accounts, deposit accounts, furniture, fixtures and supplies. The Security Agreement contained a Future Advances clause which provided that all future advances made by Plaintiff to SCS were also secured. The Security Agreement states, under the caption Transactions Involving Collateral:

> "Except for inventory sold or accounts collected in the ordinary course of Grantor's business, or as otherwise provided for in this Agreement, Grantor shall not sell, or otherwise transfer or dispose of the Collateral. . . Unless waived by Lender, all proceeds from any disposition of the Collateral (for whatever reason) shall be held in trust for Lender and shall not be comingled with any other funds; provided however, this requirement shall not constitute consent by Lender to any sale or other disposition. Upon receipt, Grantor shall immediately deliver any such proceeds to Lender."

11. On February 5, 2019, Lindsay Sturm executed a Commercial Guaranty ("Lindsay's Guaranty") in favor of Plaintiff, a copy of which is attached hereto as Exhibit D, wherein she fully and unconditionally guaranteed payment of all indebtedness owing by SCS to Plaintiff.

12. On February 5, 2019, Sean Sturm executed a Commercial Guaranty ("Sean's First Guaranty") in favor of Plaintiff, a copy of which is attached hereto as Exhibit E, wherein he fully and unconditionally guaranteed payment of all indebtedness owing by SCS to Plaintiff.

13. On August 4, 2022, SCS and Plaintiff executed a Change In Terms Agreement (CIT-1), a copy of which is attached hereto as Exhibit F, wherein the maximum credit available

to SCS under the Note was increased from $1,150,000.00 to $1,435,000.00 and the maturity date was extended from September 2, 2022 to December 3, 2022. On December 20, 2022, SCS and Plaintiff executed a Change In Terms Agreement ("CIT-2"), a copy of which is attached hereto as Exhibit G, wherein the maturity date was extended from December 3, 2022 to February 3, 2023. On March 3, 2023, SCS and Plaintiff executed a Change In Terms Agreement ("CIT-3"), a copy of which is attached hereto as Exhibit H, wherein the maturity date was extended from February 3, 2023 to May 3, 2023. On June 28, 2023, SCS and Plaintiff executed a Change In Terms Agreement ("CIT-4"), a copy of which is attached hereto as Exhibit I, wherein the maturity date was extended from May 3, 2023 to August 3, 2023. On August 10, 2023, SCS and Plaintiff executed a Change In Terms Agreement ("CIT-5"), a copy of which is attached hereto as Exhibit J, wherein the maturity date was extended from August 3, 2023 to August 3, 2030.

14. On August 10, 2023, Sean Sturm executed a Commercial Guaranty ("Sean's Second Guaranty") in favor of Plaintiff, a copy of which is attached hereto as Exhibit K, wherein he fully and unconditionally guaranteed payment of all indebtedness owing by SCS to Plaintiff.

15. On or about February 9, 2025, SCS stopped doing business.

16. On March 25, 2025, Plaintiff sent SCS (and Lindsay and Sean as Guarantors) a Notice of Default, a copy of which is attached hereto as Exhibit L, wherein, among other things, Plaintiff advised SCS, Lindsay and Sean that it did not consent to the sale of any of the equipment or other collateral, and demanded that the proceeds from any collateral be immediately turned over to Plaintiff.

17. On April 24, 2025, Plaintiff, through its attorney, sent SCS, Lindsay and Sean a Notice of Acceleration of Debt, a copy of which is attached hereto as Exhibit M, wherein, among other things, Plaintiff restated that it did not consent to the sale of any of the equipment or other collateral, and demanded that the proceeds of any collateral sold be immediately turned over to Plaintiff.

18. Notwithstanding the mandate in the Security Agreement prohibiting the sale of Plaintiff's collateral outside of SCS's ordinary course of business, and the requirement that the

proceeds of any such collateral sold be immediately turned over to Plaintiff, which mandate and requirement were reiterated in Plaintiff's letters to SCS and Guarantors dated March 25, 2025 (Exhibit L) and April 24, 2024 (Exhibit M), SCS and Guarantors have admitted, through their attorney's letter dated July 25, 2025, a copy of which is attached hereto as Exhibit N, that the following collateralized items were sold and the proceeds were given to other parties:

Date	Item	Amount
02/27/2025	Diamond glow facial machine	$9,500
02/27/2025	Skincare/medical spa products (botox/fillers)	$6,193
03/11/2025	Surgical Supplies	$4,223
03/12/2025	Skincare/medical spa products (botox/fillers)	$4,740
03/31/2025	Visia facial scanner	$12,500
03/31/2025	Medical spa/skincare products (botox/fillers)	$4,887
04/04/2025	Surgical supplies	$5,087.82
05/05/2025	CO2 laser	$27,000
	TOTAL	**$55,437.82**

19. On July 16, 2025, Plaintiff filed a Proof of Claim in Debtors' bankruptcy case showing that on the date of bankruptcy (June 16, 2025), SCS, and Debtors by virtue of their Guaranties, owed Plaintiff $1,186,649.42, $75,000 of which is estimated to be secured by the collateral remaining, and the balance of which is deemed to be unsecured. A copy of the Proof of Claim (without Exhibits) is attached hereto as Exhibit O.

III. OBJECTION TO DISCHARGE OF DEBT

20. Guarantors, acting on behalf of SCS, and for benefit of themselves, willfully and maliciously sold Plaintiff's collateral and failed to turn the $55,437.82 of proceeds therefrom over to Plaintiff. Accordingly, for the reasons stated by this Court in *Earlham Savings Bank v. Morrell (In re Morrell)*, No. 10-05431 (Bankr. S.D. Iowa March 28, 2014), Plaintiff alleges that at least $55,437.82 of Debtors' guaranteed indebtedness owing to Plaintiff should be excepted from discharge under § 523(a)(6).

21. 11 U.S.C. § 523(a)(6) provides in relevant part "(a) A discharge under section 727 . . . of this title does not discharge an individual debtor from any debt . . . (6) for willful and malicious injury by the debtor to another entity or to the property of another entity."

22. A debtor acting on behalf of a corporation, who actively converts property or commits any other tort giving rise to a nondischargeable debt under § 523 is personally responsible to the injured party and the debt is nondischargeable under § 523. *See Kraus Anderson Capital, Inc. v. Dean R. Bradley*, 14 Fed App. 0001 (6th Cir. BAP, 3-26-2014, footnote 2) and cases cited therein.

IV. PRAYER FOR RELIEF

WHEREFORE, Plaintiff respectfully prays that this Court enter and enroll an Order granting the Plaintiff the following relief:

A. Decreeing that $55,437.82 of the indebtedness owing by Guarantors under their Guaranties is nondischargeable pursuant to § 523(a)(6).

B. Decreeing that any and all other sales or transfers of Plaintiff's collateral out of the ordinary course of business, for which the proceeds therefrom were not turned over to Plaintiff, be deemed nondischargeable pursuant to § 523(a)(6).

C. Decreeing that Plaintiff be awarded its reasonable attorney's fees incurred in objecting to Debtors' willful and malicious actions. *See Kruse et al. v. Weller (In re Weller)*, No. 22-00173 (Bankr. S.D. Iowa March 6, 2023).

D. Such other relief as may be just and proper under the premises.

Dated: September 3, 2025

Respectfully submitted,

SOUTH STORY BANK & TRUST, Plaintiff

By: /s/ Nicholas F. Miller

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